



March 24, 2025

Representative Emanuel “Chris” Welch
Speaker of the House
300 Capitol Building
Springfield, IL 62706

Representative Robyn Gabel
Majority Leader of the House
300 Capitol Building
Springfield, IL 62706

Representative Tony M. McCombie
Republican Leader of the House
316 Capitol Building
Springfield, IL 6270

Representative Ann M. Williams
263-S Stratton Office Building
Springfield, IL 62706

RE: Letter in Opposition to Illinois HB 3712 (Privacy Protections for Location Information Derived from Electronic Devices Act)

Dear Speaker Welch, Majority Leader Gabel, Republican Leader McCombie, and Representative Williams:

On behalf of the advertising industry, we write to oppose Illinois HB 3712.¹ Our organizations support meaningful privacy protections for Illinoisans. As described in more detail below, this bill’s terms veer from the well-established approach to location data present in other state privacy laws, further complicating the increasingly complex privacy landscape for both businesses and consumers across the country. We ask you to harmonize HB 3712 with other state privacy laws like those in Iowa and Indiana. Accordingly, we ask you to decline to advance the bill as drafted out of the House of Representatives (“House”) and to consider updates to enhance the bill to bring it in line with the majority of states that have passed privacy legislation.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² By one estimate, over 262,955 jobs in Illinois are related to the ad-subsidized Internet.³ We would welcome the opportunity to engage with the House further on the non-exhaustive list of issues with HB 3712 outlined here.

¹ Illinois HB 3712 (2025-26 Sess.), located [here](#) (hereinafter, “HB 3712”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

³ *Id.* at 125-26.

I. HB 3712 Should Be Harmonized with Existing State Privacy Laws

Illinois should focus its efforts on harmonizing HB 3712 with the approach to location information taken in a majority of other states. A patchwork of differing privacy standards across the states creates significant costs for businesses and consumers alike. Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live.

The bill's treatment of "location information" strays from the majority of states in that HB 3712 would outlaw the collection or processing of location information aside from use for a very narrow set of permissible purposes assigned at this point in time by the legislature, thus requiring an act of the legislature in the future for any innovation or new service to be deemed permissible. Those narrow purposes are: provision of a product, service, or service feature to the individual to whom the location information pertains when that individual requested the provision of such product, service, or service feature by contracting with a covered entity; initiation, management, execution, or completion of a financial or commercial transaction or to fulfill an order for a specific product or service requested by an individual; compliance with a legal obligation; or response to an emergency service agency, emergency alert, 911 communication, or any other communication reporting an imminent threat to human life.⁴ The bill would also require covered entities to obtain consumer consent to use location information for these permissible purposes and obtain "discrete" consent for each permissible processing purpose.⁵ Meanwhile, most other states allow for the general collection or processing of location information subject to a consumer's opt-in consent without an overarching limitation that such data may only be used for certain enumerated "permissible purposes."⁶

Given that marketing and advertising are not permissible purposes under the bill, HB 3712 would appear to eliminate the ability to personalize messages to consumers based on location information even where consumers would otherwise consent to this processing. Again, this is in stark contrast to other state laws and industry rules. In Section II we further discuss how this unreasonable restraint on advertising would harm consumers and the marketplace. We encourage the House to amend the bill to remove its "permissible purposes" data processing limitation and instead reflect the well-established approach in other state privacy laws that allows for consumer choice while also preserving use cases for location information.

Furthermore, the bill would require covered entities to produce a "location privacy policy."⁷ Adding yet another privacy policy requirement, on top of general privacy policy and consumer health data privacy policy requirements that businesses must maintain under other state laws, would inundate individuals with notices without providing meaningful privacy benefits and would overwhelm businesses with drafting additional privacy disclosures.⁸ These strains on consumers and businesses would be compounded by the bill's cumbersome discrete

⁴ HB 3712 § 15(a).

⁵ *Id.* at § 15(a), (b).

⁶ *See, e.g.*, Ind. Code 24-15-4-1(5).

⁷ HB 3712 §§ 5, 15(g).

⁸ *See, e.g.*, Cal. Civ. Code § 1798.130(5); Wash. Rev. Code § 19.373.020.

consent requirements.⁹ Businesses would be required to provide additional privacy policies alongside multiple discrete consent requests, and consumers would be overburdened with parsing these disclosures and reviewing numerous requests for consent from various entities. The purported benefit of a location privacy policy would be minimal at best given that the required disclosures would be duplicative of privacy policy requirements under other state laws. For example, permissible purposes for location information processing would overlap with existing data use disclosures, and disclosing identities of specific service providers or third parties would both provide negligible value to consumers, who already receive disclosures about categories of service providers and third parties to which an entity discloses information, and threaten to violate confidentiality agreements with business partners or expose valuable trade secrets to competitors.

Additionally, HB 3712's enforcement provisions suggest that the Illinois Department of Innovation and Technology may have authority to adopt rules under this bill, yet most state privacy laws have avoided granting rulemaking authority.¹⁰ Such rulemaking authority without clear direction in the statute would exacerbate HB 3712's divergence from existing privacy standards and worsen compliance burdens.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.¹¹ Another recent study found that a consumer data privacy proposal in Florida would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.¹² Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.¹³ Harmonization with existing privacy laws is essential to create an environment where consumers in Illinois have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. Illinois should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

⁹ HB 3712 § 15(b).

¹⁰ HB 3712 § 25(a).

¹¹ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

¹² See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at <https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

¹³ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

II. HB 3712's Restrictions on Location Data Are Confusing and Would Undermine Advertising Benefits for Consumers and Local Businesses, Emergency Notices, and Fraud Prevention Services

HB 3712 requires a covered entity that delivers targeted advertising to provide consumers with the ability to opt out of the processing of location information to select or deliver targeted ads.¹⁴ However, as previewed in Section I, the bill also makes it unlawful to collect or process location information except for a permissible purpose, which excludes advertising or marketing activities.¹⁵ By banning the use of location information aside from permitted purposes, which do not clearly include advertising or marketing activities, while simultaneously permitting targeted advertising based on location information subject to a consumer opt-out, the bill proposes a confusing approach to targeted advertising that would have a chilling effect on commerce. Particularly, restricting processing of location information to a very limited list of permitted purposes would impede advertising and marketing efforts that deliver more relevant information to consumers as well as important services that depend on precise location data to function.

Location information is an integral component for consumer personalization and marketing that allows companies to reach consumers with relevant content and ads at the right time and in the right place. This benefit is especially meaningful for Illinois's small and medium-sized businesses. Without the ability to process such data subject to consumer consent, businesses will have a more difficult time, and face higher costs, reaching consumers with relevant marketing, and consumers will not be alerted to products and services they desire that are near to them.

An important service powered by location information is emergency notices, particularly AMBER alert and severe weather notices. The disclosure of location information powers these important emergency notices and allows AMBER alert notices as well as information regarding extreme weather to be immediately displayed to users in the impacted area on any device they are using. While the bill exempts collecting location information for the permissible purpose of "response" to an emergency service agency, an emergency alert, a 911 communication, or any other communication reporting an imminent threat to human life, that exemption is very narrow.¹⁶ If HB 3712 becomes law, location information in Illinois will lose much of its utility in the marketplace. As a result, this data will be less likely to be collected and used overall, making it less procurable for use for emergency alert purposes. If HB 3712 is enacted, Illinoisans may lose access to important, real-time alerts, which rely on the disclosure of location information.

Location information also enables more effective fraud prevention to protect consumers and businesses. Financial institutions, retailers, and others rely on anti-fraud services that include location information provided by third parties. The disclosure of location information allows anti-fraud and identity protection services to flag suspicious behavior and protect vulnerable communities. For example, companies can more easily detect credit card theft or

¹⁴ HB 3712 § 15(c).

¹⁵ *Id.* § 15(a).

fraud if they or their service providers have access to location information showing that a consumer is not in the location where a purchase is being made. The ability to use and disclose location information helps companies to detect and prevent fraudulent and illegal activity and reach out to consumers to confirm their purchases. Similarly to the use case for emergency alerts, if HB 3712 becomes law, companies may collect and use location information less (particularly data relevant to Illinoisans), making this critical data set less available for this important anti-fraud and identity protection use. If passed, HB 3712 would inhibit the use of location information to protect Illinois consumers from fraud and identity theft.

III. A Private Right of Action Is an Inappropriate Form of Enforcement for Privacy Legislation

As presently drafted, HB 3712 permits private litigants to bring lawsuits.¹⁷ We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the Attorney General (“AG”) alone, because such an enforcement structure would lead to stronger outcomes for Illinois residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The private right of action in HB 3712 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood Illinois’s courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm. Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state’s economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses’ attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.¹⁸

¹⁷ HB 3712 at § 25(b).

¹⁸ For instance, in the early 2000s, private actions under California’s Unfair Competition Law (“UCL”) “launched an unending attack on businesses all over the state.” American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It’s Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating “APR” instead of spelling out “Annual Percentage Rate” in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens

Beyond the staggering cost to Illinois businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the inclusion of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the House to update HB 3712 to remove the private right of action and to vest sole enforcement authority in the AG.

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We and our members strongly support meaningful privacy protections for consumers. We believe, however, that HB 3712's prescriptive and burdensome obligations would obstruct the responsible processing of location information that powers Illinois residents' access to critical services and resources. We therefore respectfully ask the House to decline to advance HB 3712 as proposed.

Thank you in advance for your consideration of this letter.

Sincerely,

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